

Economics 201: Intermediate Micro Analysis, Fall '23

[Ver. 10-8-23 – Jump to [Schedule](#)]

Primary: Professor Casey Rothschild
Pendleton East (PNE) 414
crothsch@wellesley.edu

Join Slack [Here](#)

Materials [Here](#) [Google Drive]

Office Hours: (Tentative),
Monday 2:30-4 pm
Tuesday: 4:30-6 pm and **8:30-10 pm**
Wed 2:30-4 pm
Thursday **8-10 pm**
Daytime hours: PNE 414; Evening: PNE 327
And by appointment

Course Description

Econ 201 is a tools and foundations course. We will study individual and household decision-making (the foundations of demand), profit-maximizing-firms' decision-making (the foundations of supply), and the interaction of individual- and firm-level decision-making and the aggregation thereof to the market level (the foundations of equilibrium). We will also study how these equilibrium foundations can be used in positive and normative evaluations of public policy (the foundations of welfare economics). Finally, we will compare and contrast models of perfect and imperfectly competitive markets.

Tools include constrained optimization , comparative-static equilibrium analysis , and cost-benefit analysis . Each of these tools is an essential building-block for advanced work in economics.

Learning Goals

After completing this course, students should be able to:

- Apply the techniques of constrained optimization to individual consumer and producer behavior;
- Use equilibrium analysis to predict perfectly and imperfectly competitive market outcomes;
- Evaluate and critically analyze the normative implications of market equilibria;
- Translate fluidly between graphical and algebraic or calculus-based representations of microeconomic behavior;
- Demonstrate the ability to effectively communicate theoretical microeconomic reasoning and analysis in written form.

These goals support the broader learning goals of the economics major.

Class Meetings, Office Hours, and Course Tutor, and Communication

Class meetings: Classes meet on Tuesdays and Fridays from 12:45-2 pm and Wednesdays 1:30-2:20 pm. All meetings will take place in PNE 339. Attendance is expected, but I understand that there will be occasional absences (see specific policy below). You are responsible for getting notes from a fellow student in the event of an absence—though of course I am happy to meet with you to clarify missed material, especially when absences occur for reasons outside of your control.

The use of laptops and phones is not ordinarily permitted in class without express prior permission. Real-time note-taking, including drawing graphs by hand, is critical for learning the material; note-taking by typing on a conventional laptop (or phone!) is not a good substitute. Students who prefer to take handwritten notes on a tablet with a stylus are welcome to do so; the tablet should then remain flat on the desk and not be used laptop-style, and is ordinarily expected to remain in airplane mode for the duration of class.

Office Hours: Attending office hours (see above) is strongly encouraged. Office hours on Tuesday evenings will likely be problem-set oriented (p sets due on Wed)—and a great opportunity to collaborate with classmates. Thursday evening office hours are likely to be largely populated by Econ 101P students, but you are welcome to come then.

The course tutor will be Anita Lau (al120@wellesley.edu). Anita will hold regular help room hours in PNE 216 at a time TBD.

Communications:

We will be using Slack for most communications. If you have not done so already please [join the Econ 201 Fall 23 workspace](#) as soon as possible. Be sure to set it up to notify you when I post to the #general and #announcements channels.

It is your responsibility to monitor Slack for communications, which may include time sensitive or response-required messages. My expectation is that you will typically see and, when appropriate, respond to communications within 24 hours – weekends and school breaks excepted. You should expect the same 24-hour responsiveness from me.

Links to assignments, solutions, extra readings, and so forth, will be provided in the appropriate Slack channel. They will also be available permanently on the course [Google Drive folder](#), to which all registered students should have access. Finally, and perhaps most easily, they'll typically also be listed on this syllabus, which will be updated with hyperlinks as new materials are posted.

I am also available by email crotsch@wellesley.edu and office telephone 781.283.3026

Class Policies, Principles, and Grading

This course follows the [Economics Department Principles and Guidelines](#). Please read them and ask any questions they raise.

Attendance: Students are expected to attend all class meetings and to arrive on time for those meetings. Absences for illness or conflicts will, of course, happen from time to time. In such cases, students should inform the professor in advance of the class meeting whenever possible. Students who accumulate more than four unexcused absences (approximately 10% of class meetings) will have their final grade in the course reduced by 1/3 of a letter grade per additional absence. Students who accumulate more than eight unexcused absences (approximately 20% of the meetings) will be asked to withdraw from the course. Tardiness in excess of 5 minutes will be treated as half an absence.

Homework Assignments (30%): There are 8 problem sets due at the **beginning of class** on most Wednesdays (the final problem set is due Friday instead). Each will have two parts: an “individual” part and a “group” part. Groups will be assigned *at random* (with some possibility for limited reshuffling at a later date if needed).

You will be graded on a full-credit/half-credit (incomplete or late, but within 24 hours)/no-credit basis for each of the 16 homework parts. To earn a 100% homework grade, you need 13 “credits.” That means you can skip up to 3 parts over the course of the semester and still get a 100% homework grade.

All homework should be submitted through Slack DM. Each student should submit their own individual questions as a single .pdf file, using the naming convention: **LastName_PSetM.pdf** (where M is the problem set number). Each group should similarly submit a single group .pdf, using the naming convention **GroupN_PSetM.pdf** (where N is the group number assigned to your group).

Group questions are designed in part to encourage active collaboration with other students. Collaboration on the individual questions is also encouraged – though in that case all *final* work completed and turned in should be one’s own. So, for instance, it is always permissible to discuss problems with other students (and the professors, and the course tutor) before writing them up, but students should never copy another student’s answer (and, indeed, should not be looking at another student’s written answer while writing their own up).

A word of warning: problem sets are often hard! My view is that the best way to learn hard material (and 201 is hard material!) is to struggle to apply it outside of your comfort zone. Remember though that homework is low stakes: you get full credit for trying all problems, even if you don’t end up getting the right answer. That said, I understand that difficult problem sets can, at times, be frustrating and stressful (rewarding too, at times, of course!). To try and ease this frustration and stress, I have “divided” homework problems into three marked categories:

- 1) **Mechanical Problems:** These are more-or-less direct applications of techniques covered explicitly in the lecture or textbook. They may still be hard, for example because they use

mathematics that are new (or rusty) to you, but they are problems for which there is a natural solution “template” that you can follow to get the right answer without needing to understand (too) deeply why it works.

- 2) Explanations/Thought Problems: These questions also deal directly with material from class. But they require really understanding the ideas—and the direct implications thereof—and being able to explain it clearly.
- 3) Extensions: these problems are intended to be the really hard ones. They will (of course) deal with material from class, but it may not be obvious how (at least before you’ve thought a lot about them and understood the material deeply) . These may, for example, involve non-obvious connections between different covered concepts.

Individual problems will typically be from categories 1 and 2. Group HW questions will typically be from categories 2 and 3.

Importantly, I want you to know up front that I recognize that the material is hard and that many of you will struggle at times with it. I am fully invested in helping you to succeed. If you are organized, hard-working, and dedicated, I will gladly spend as much time as I possibly can, working with you to help you master the material. (And if you are not yet organized, I’m also happy to work with you to help develop those skills; hard-working and dedicated are more firmly in your court.) Come to my office hours—and feel free to request other appointments if those hours don’t work. Ask asynchronous questions on Slack. And reach out by email if you’re feeling like you’re struggling. I am here to help!

Exams: [70%] The course will feature three timed exams: two in-class “midterm” exams on Tuesday, Oct 17 and Friday, Dec 1 (20% each), and a self-scheduled final exam during exam week (Dec 18-21; 30%).

Paper option: Interested students have the option to write a 5-8 page paper on a real-world, contemporary application of microeconomic theory, due on the last day of classes. Students who pursue this option will still take all of the exams, but the exams will only count for 35% of your grade (instead of 65%). The remaining 30% of your grade will be based on your paper. Students who are interested in this MUST let me know by Thanksgiving and must have a tentative topic picked out (which I’m more than happy to discuss in advance). Students who elect to pursue the paper option at this time are required to complete the paper—it is optional, but you can’t “back out” once you’ve opted in!

Final Grades: Student final grades will be computed using a weighted average of homework (30%) and exam (70%) grades. Ordinarily, this will mean each midterm exam will count for about 20% and the final exam for about 30% towards the final grade. I reserve the right to raise grades above raw average (e.g., to make a 75% average a B or an 85 average an A-) – but I will never “curve down” (if you earn a 90, you’ll get *at least* an A-, and so forth.)

Honor code: All work is covered by the [honor code](#); see comments re: homework collaboration above.

Intellectual Property: Homework, lecture notes, and problem sets are the intellectual property of the professor. You should not share them beyond class without permission.

Prerequisites and Corequisites

This course requires Econ 101, Econ 201, and a math course at Wellesley at or above Math 115. If you do not meet these requirements, please let me know ASAP.

Textbooks and Materials

Required Texts and Readings:

Microeconomics, by Susan Skeath and Ann Velenchik. This excellent textbook is in pre-published form. Profs Skeath and Velenchik have generously agreed to let students use all chapters (and exercises and solutions!) for free. They are available via: [Link here](#). Note: this material is the intellectual property of Profs Skeath and Velechik. It is free for you to use for the course – but not for you to share with others or post elsewhere.

`
-

I recommend, but do not require, that students complete textbook readings before class.

After most class meetings, I will post typed lecture notes corresponding reasonably closely to the material covered in class.

As noted above, links to assignments, solutions, extra readings, lecture notes, and any other materials will be available permanently on the course [Google Drive folder](#), to which all registered students should already have access. I will strive to link everything to this syllabus as well; if you don't see something that should be there, please send me a note and I'll get it up ASAP.

Generative AI and Econ 201

Generative AI is a tool with incredible potential – and incredible potential for abuse. It is unlikely to be a useful tool in this course. While it is possible that generative AI could be useful in answering some problem set questions, the point of the problem sets is to help you learn by doing – not to “get the right answer.”

Note that—because generative AI typically uses inputted material as a learning base—entering exam, problem set, or lecture note material would effectively violate intellectual property protections.

I will provide further guidelines to students who choose the final paper option, for which appropriate use of generative AI is less clear-cut.

Schedule (Subject to Change)

See the following pages for a detailed but still tentative schedule.

September				
Monday	Tuesday	Wednesday	Thursday	Friday
4 Labor Day – No Classes	5 Topic: Bird's eye view Readings: Syllabus	6 Topic: Math Tools Readings: S+V Ch1	7	8 Topic: Utility, Preferences and Choice 1: Basic Choice Theory Readings: S+V Ch 2 (start)
11	12 Topic: Utility, Preferences and Choice 2: Indifference Curves, Budget Constraints, and the MRS [Note: some of this material spilled into Wed] Readings: S+V Ch 2 (finish); S+V Ch 3.1	13 HW 1 Solutions Topic: Mathematical Optimization and Intro to the Law of Demand [See notes linked in next lecture] Readings: S+V Ch 3 (finish)	14	15 Topic: More Demand: Income and Substitution Effects Readings: S+V Ch 4
18	19 Topic: No Class – Casey's at a professional conference [I know – terrible timing]	20 Topic: No Class – Casey's at a professional conference [I know – terrible timing]	21	22 Topic: Demand and Elasticities [See notes from 9-15, and 9-26] Readings:
25	26 Topic: Income and Substitution Effects; Compensating Variation Readings:	27 HW 2 (long – start early) Solutions Topic: Group Problem Solving	28	29 Topic: Applications: Labor Supply Readings S+V Ch 5 , Chetty, Friedman, and Saez (2013) . [Note: many parts of this paper will be very hard to read; skim it and then skim it more carefully after class. You are only responsible for the “big picture” ideas.] Readings:

October

Monday	Tuesday	Wednesday	Thursday	Friday
2	3 Topic: Applications: Labor Wrap; and Readings:	4 HW 3 Solutions Topic: More Intertemporal choice Intertemporal Choice Readings: S+V Chapter 6	5	6 Topic: Intertemporal choice conclusion; intro to choice under uncertainty Readings: S+V Ch 6 (again)
9 Indigenous Peoples' Day – No Classes	10 Fall Break – No Classes	11 [No Homework] Topic: Choice under uncertainty Notes: EUT Notes: Applications (pending) Readings: Goldman Lecture 4:30-6, highly recommended	12	13 Topic: Review Practice exams can be found here
16	17 Topic: Midterm I Exam Solutions Blank Version Readings:	18 [No Homework] Topic: Applications: choice under uncertainty – Lecture Notes: portfolio choice and insurance Readings:	19	20 Topic: Producer Theory: An Introduction via Duality; Notes: Duality and Firm Optimization Readings: S+V Ch 7
23	24 Topic: Substitutability and Cost Functions Readings: S+V Ch 8	25 HW 4 Topic: Short and Long Run Costs Curves Readings: Avent, The Wealth of Humans, Ch 4 "The Virtues of Scarcity"	26	27 Topic: From Cost Minimization to Profit Maximization Readings: S+V Ch 9

30	31			

November

Monday	Tuesday	Wednesday	Thursday	Friday
	Topic: Competitive Partial Equilibrium Readings: S+V Ch 10	1 HW 5 Topic: Government Intervention I Readings:	2	3 Topic: Government Intervention II Readings: Colander, Rothschild, and Gaastra (2010)
6	7 Topic: General Equilibrium – Concepts Readings:	8 HW 6 Topic: The Fundamental Welfare Theorems Readings: S+V Ch 11	9	10 Topic: General Equilibrium Extensions Readings:
13	14 Tanner Conference – No Classes	15 HW 7 Topic: General Equilibrium Critiques Readings: Hazlitt “How the Price System Works” and Bowles et al “Hayek and the Market Algorithm”	16	17 Topic: Game Theory and Nash Equilibrium
20	21 Topic: Monopoly and Price Discrimination Readings: S+V Ch 12, Ch 13 Useem (2017). “How Online Shopping Makes Suckers of Us All” The Atlantic, May 2017.	22 Thanksgiving Break – No Classes	23 Thanksgiving Break – No Classes	24 Thanksgiving Break – No Classes
27	28 Topic: Monopsony and Minimum Wages Readings: Myth and Measurement, Preface and Chapter 1	29 Topic: Review Readings:	30	

December

Monday	Tuesday	Wednesday	Thursday	Friday
				1 Topic: Midterm II
4	5 Topic: Oligopoly and Imperfect Competition Readings: S+V Ch 14	6 Topic: Externalities Reading: S+V Ch 15	7	8 HW 8 [Note date!] Topic: Integrative Application: Climate Change Reading: Weitzman ; Arrow et al [Hard: skim; the reread after class]
11	12 Topic: Integrative Application: Women's Labor Force Participation in the US Reading: Goldin Ely Lecture and AEA Address	13 Last Day of Classes Topic: Wrap –	14 Reading Period Begins	15 Reading Period
18 Final Examinations Begin	19	20	21 Final Exams End at 4:00 PM	23